

GLOBAL EQUITIES MOMENTUM

There is a tide in the affairs of men which, when taken at the flood, leads to fortune.

—*William Shakespeare*

WE HAVE SEEN HOW MOMENTUM evolved, what assets are best to include in a momentum-based model, and what we mean by relative, absolute, and dual momentum. We have also identified the tools and criteria we need for evaluating our results. We are ready now to create an integrated model that transforms momentum concepts into a real-world experience.

Based on the past success and high-risk premium of equities, we will anchor our investment portfolio in U.S. stocks and switch into non-U.S. stocks in accordance with relative strength momentum. We will hold bonds (short to intermediate term) only when the U.S. and non-U.S. equity markets are not in an uptrend, as determined by absolute momentum. This should minimize any drag that a bond allocation might have on the long-run performance of our strategy, while allowing bonds to come into play and contribute fully to portfolio returns during equity bear markets.

DYNAMIC ASSET ALLOCATION